

SHORT STRANGLE ADJUSTMENT RULE BOOK

Theta Gainers | Quant Strategy Framework
Premium-Matching Adjustment Method for NIFTY / BANKNIFTY Options

STRATEGY	Short Strangle (Index Options)
INSTRUMENT	NIFTY / BANKNIFTY Weekly/Monthly
CORE METHOD	Premium Matching Adjustment
RISK PROFILE	Unlimited -> Defined (Iron Fly)
GOAL	Theta Decay + Controlled Drawdown

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OBJECTIVE & CORE PHILOSOPHY

The goal of this strategy is **NOT to maximise profit** — it is to survive directional moves, keep losses controlled, and continuously harvest theta decay. Psychological comfort during adjustments is equally important.

PRIMARY GOAL	Control drawdown during directional moves
SECONDARY GOAL	Collect theta continuously
TERTIARY GOAL	Convert undefined risk to defined risk
MINDSET	Rule-based, emotion-free execution

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STRATEGY SETUP & ENTRY CRITERIA

Entry Rules:

- Trade NIFTY or BANKNIFTY index options only.
- Sell OTM Call and OTM Put simultaneously.
- Both premiums must be approximately equal at entry.
- Preferred DTE: 7–21 days to expiry.
- Enter on Thursday (previous expiry) or Monday open.
- Avoid entry during high-IV events (Budget, Fed, Elections).

Example Setup:

LEG	STRIKE	PREMIUM	ACTION
Short Put	11,400 PE	Rs. 25	SELL
Short Call	12,000 CE	Rs. 25	SELL
TOTAL CREDIT		Rs. 50	Net Premium

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THE GOLDEN RULE — NEVER TOUCH THE LOSING SIDE

WRONG APPROACH	CORRECT APPROACH
Market goes up	Market goes up
■ Move (roll) the Call strike	■ Book profit on the Put (winner)
■ Buy back the Call	■ Sell a new Put closer to market
Result: Chase losses, increase risk	Result: Reduce distance, collect premium

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ADJUSTMENT TRIGGER RULES

Adjustments are made using the **Premium Matching Method**. Trigger an adjustment when:

TRIGGER CONDITION	THRESHOLD	ACTION
Profitable leg premium decays	Below Rs. 5–10 OR 60-70% of credit	Adjust now
Losing leg premium doubles	2x entry premium	Adjust now
Market moves >1.5x expected	Weekly move exceeded	Emergency adjust
DTE falls below 2 days	Near expiry	Close or convert

Example:

OPTION	ENTRY PREMIUM	CURRENT PREMIUM	STATUS
11400 PE (Short)	Rs. 25	Rs. 8	ADJUST — Book Profit
12000 CE (Short)	Rs. 25	Rs. 50	Hold (Losing Side)

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STEP-BY-STEP ADJUSTMENT PROCEDURE

STEP 1 — IDENTIFY	Confirm trigger is met. One side lost 60–70% of premium value.
STEP 2 — BUY BACK	Close (buy back) the profitable (winning) leg. Example: 11400 PE at Rs.25 -> now Rs.8. Buy back. Profit = Rs.17.
STEP 3 — FIND MATCH	Look for a new option whose premium MATCHES the losing side's current premium. If Call is at Rs.50, find a Put with premium Rs.45–55.
STEP 4 — SELL NEW	Sell the premium-matched option. Example: Sell 11700 PE at Rs.50. Position is now balanced again.
STEP 5 — RECORD	Log the adjustment: original strike, new strike, premium collected, net P&L.;
STEP 6 — REPEAT	Repeat whenever the trigger conditions are met again.

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PREMIUM MATCHING — THE CORE RULE

Match premiums — NOT delta, NOT distance, NOT Greeks.

SCENARIO	CURRENT CALL	NEW PUT TO SELL	VALID?
Good Match	Rs. 52	Rs. 48–55	YES
Acceptable Match	Rs. 52	Rs. 40–58	YES (borderline)
Bad Match — Too Low	Rs. 52	Rs. 15	NO — Avoid
Bad Match — Too High	Rs. 52	Rs. 80+	NO — Avoid

Why Premium Matching Works:

- Keeps position delta-neutral without calculating Greeks.
- Ensures both legs decay at similar rates going forward.
- Prevents the position from becoming directionally biased.
- Simpler to execute in live markets under pressure.

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CRITICAL DON'TS — HARD RULES

✗ Never adjust the LOSING side	Rolling the losing option increases delta exposure and margin.
✗ Never sell deep ITM options	Premium may appear matched but gamma risk is extreme.
✗ Never chase high-premium mismatch	If Call is Rs.50, do NOT sell a Rs.15 Put.
✗ Never hold past 2 DTE naked	Convert to Iron Fly or close before last 2 days.
✗ Never trade emotionally	If you deviate from the rule, exit the position entirely.
✗ Never sell during news events	Avoid entry 1 day before major events (RBI, Budget, Fed).

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STRADDLE CONVERSION RULE

After repeated adjustments, if both strikes converge to the **same ATM strike**, the strangle automatically becomes a Short Straddle.

ADJUSTMENT #	PUT STRIKE	CALL STRIKE	STRUCTURE
Entry	11,400 PE	12,000 CE	Strangle (600pt wide)
Adj #1	11,600 PE	12,000 CE	Strangle (400pt wide)
Adj #2	11,800 PE	12,000 CE	Strangle (200pt wide)
Adj #3	12,000 PE	12,000 CE	Short Straddle (ATM)

Once at Straddle: Monitor closely. If the market continues trending, immediately convert to Iron Fly (Section 9).

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IRON FLY CONVERSION — EMERGENCY PROTOCOL

Convert to Iron Fly when: (a) Straddle is reached and market still trends, OR (b) Market moves more than **1.5x the expected weekly range**.

LEG	STRIKE	ACTION	PURPOSE
Short Put (existing)	12,000 PE	Keep	Premium collected
Short Call (existing)	12,000 CE	Keep	Premium collected
Long Call (NEW)	12,100 CE (+100pt)	BUY	Cap upside risk
Long Put (NEW)	11,900 PE (-100pt)	BUY	Cap downside risk
Result	Iron Fly	Defined Risk	Max loss is capped

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EXIT RULES

EXIT TYPE	CONDITION	ACTION
Profit Target	50% of total credit collected	Close entire position
Profit Target	40–60% credit — adjust per IV	Acceptable range
Time Exit	2 days before expiry (DTE = 2)	Close or convert to defined
Stop Loss	3x credit received	Close immediately, no adjustments
Emergency	Market moves 1.5x expected	Convert to Iron Fly then exit
Weekly Rule	3 consecutive losing weeks	Stop trading, review rules

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RISK MANAGEMENT PARAMETERS

PARAMETER	RULE
Max Risk Per Trade	1–2% of total account capital
Max Capital in Naked Strangles	30–40% of total capital
Maximum Adjustments Per Expiry	3 adjustments (after 3rd, convert or exit)
Account Drawdown Stop	5% monthly drawdown — stop all trades
Consecutive Loss Rule	3 losing weeks in a row — pause and review
Margin Buffer	Always maintain 20% extra margin buffer

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DECISION TREE — TRADE MANAGEMENT FLOW

START	Sell equal-premium OTM Strangle (Put + Call)
MONITOR	Check position at market open and 15 min before close
TRIGGER?	Has one leg lost 60-70% of premium? OR doubled?
NO TRIGGER	Hold position. Collect theta. Do nothing.
TRIGGER HIT	Buy back the PROFITABLE leg (decayed side).
MATCH PREMIUM	Sell new option matching LOSING side's current premium.
STRIKES CONVERGE?	Have Put and Call strikes reached the same level?
NOT YET	Continue holding adjusted position. Repeat on next trigger.
CONVERGED	Position is now a Short Straddle. Monitor closely.
TREND CONTINUES?	Is market still strongly directional after straddle?
STABLE	Hold Straddle and collect remaining theta.
TRENDING	Convert to Iron Fly immediately (buy wings +/-100pt).
EXIT	At 50% profit target, 2 DTE, or 3x credit stop loss — EXIT.

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BACKTEST VALIDATION — OCT 2019 CASE STUDY

The following backtest was conducted on a simulated platform using real market data from October 1–8, 2019, when NIFTY rallied approximately 600 points — one of the most challenging periods for short strangles.

METRIC	WITHOUT ADJUSTMENT	WITH ADJUSTMENT (RULE BOOK)
Starting Position	Sell 11400PE + 12000CE @ Rs.50	Sell 11400PE + 12000CE @ Rs.50
Market Movement	Nifty +600 points in 7 days	Nifty +600 points in 7 days
Peak Loss	Rs.6,363 per lot	Rs.15 per lot (capped)
Final P&L;	Significant loss (unbounded)	Near breakeven / small loss
Adjustments Made	None	3 premium-match + Iron Fly
Max Risk Realised	Full directional loss	Defined by Iron Fly wings

Key Takeaway: Strict rule-based premium-matching adjustment reduced losses from Rs.6,363 to Rs.15 in one of the worst possible market scenarios for short strangles.

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QUICK REFERENCE CHEAT SHEET

ACTION	WHEN	HOW
Adjust	Leg decays 60-70%	Buy back winner → Sell matched-premium option
Roll	Premium mismatch resolved	New leg premium = Losing leg premium ±10%
Convert to Straddle	Strikes converge at ATM	Both strikes at same level
Add Iron Fly Wings	Straddle + trend continues	Buy ±100pt OTM options
Close for Profit	50% credit decay	Market order, no legging
Emergency Close	3x credit loss	Close all legs immediately
Pause Trading	3 losing weeks	Review and backtest before re-entry

THE ONE RULE THAT MATTERS MOST

Adjust only when the premium-decay rule is triggered.

Book the profitable side. Re-sell a premium-matched option.

When strikes meet, convert to Straddle. If risk expands, convert to Iron Fly.

Never. Trade. Emotionally.
